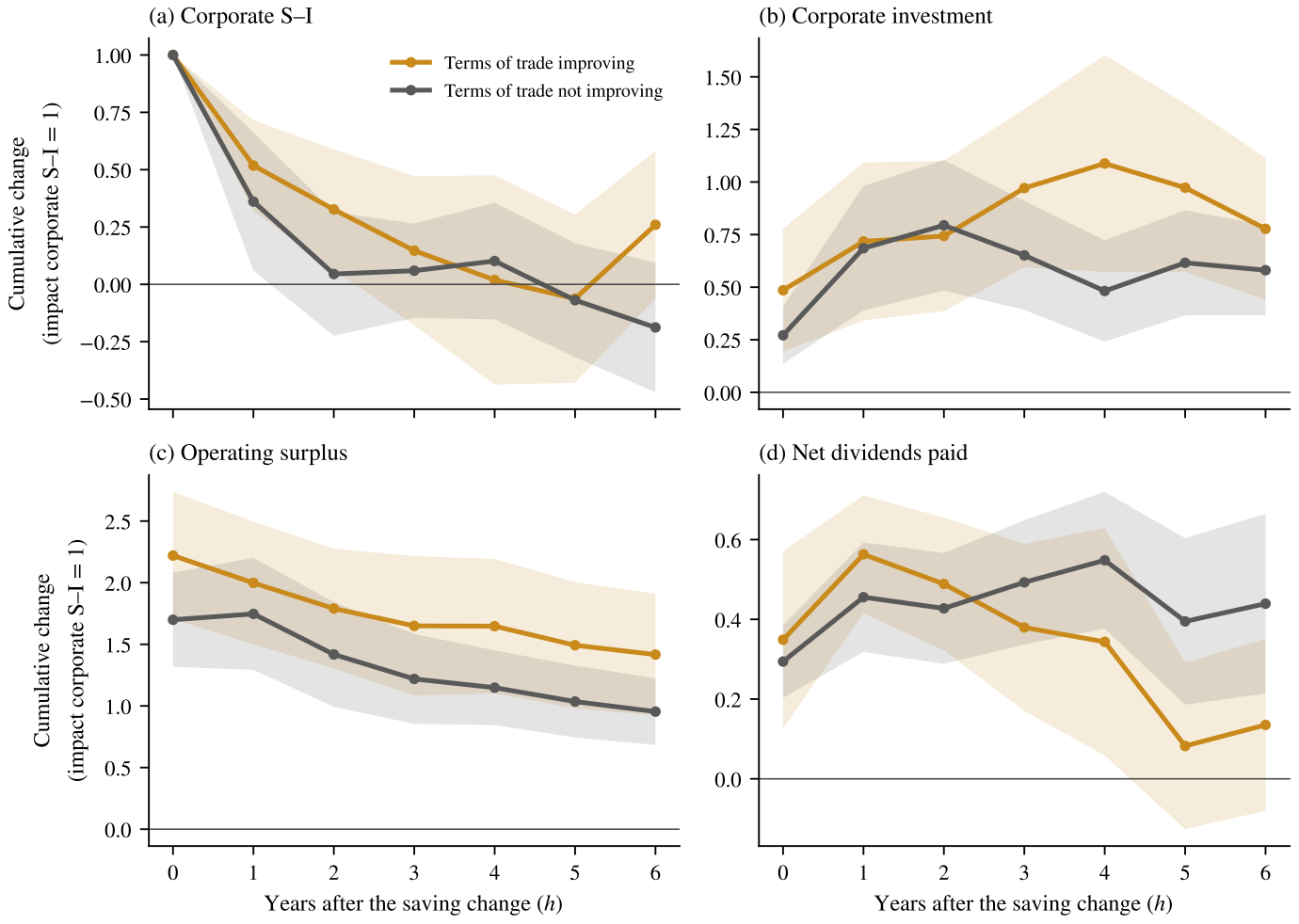
**Profit windfalls in years of improving and non-improving terms of trade**




Notes: State-dependent local projections on 796 country-years (35 economies) with goods terms-of-trade data; the terms of trade improve in 50% of them. The profit-windfall component is interacted with an indicator for a rise in the goods terms of trade at t and its complement; the indicator, the retention component and the baseline controls are included. Each response is scaled by the impact response of the corporate balance in that state. 68 percent bands, country-cluster delta method.